

Bulk Buyer Model – Conditional Commitment Amount

Why a simple non-refundable joining fee is dangerous

Asking buyers to pay money just to join a group — and keeping it if they don't book — creates trust, legal, and reputation risks.

- Buyers may feel trapped
- Loan rejection or family issues can create disputes
- You may be seen as charging buyers or profiting from dropouts
- Builders may dislike this approach

This turns you from a deal facilitator into a penalty collector — which should be avoided.

The Correct, Industry-Safe Approach

Use a **Conditional Commitment Amount**. This is not a fee. It is a commitment towards booking, governed by transparent rules.

Correct Naming (Very Important)

- ■ Joining Fee / Registration Fee
- ■ Booking Commitment Amount
- ■ Bulk Booking Hold Amount

How the Model Works

Step 1: Pre-Group (Free)

- Buyer learns about the project
- Site visit completed
- Budget and unit type confirmed

Step 2: Booking-Ready Group Entry

Buyer pays ■25,000 – ■50,000 as a commitment amount. This amount is:

- Adjusted against final booking amount, OR
- Fully refunded if the bulk window does not activate

Step 3: Bulk Booking Window Opens

If the bulk window opens and the builder confirms the offer, the commitment amount becomes non-refundable only if the buyer chooses not to book without a valid reason.

Valid vs Invalid Reasons

Refundable Reasons

- Bank loan rejection
- Builder changes pricing or inventory
- Legal issue in the project
- Bulk window does not activate

Non-Refundable Reasons

- Buyer wants to wait
- Buyer asks for more discount
- Family backs out after prior confirmation

Who Should Hold the Money

- Builder (as advance)
- Escrow or separate documented account
- Always with receipt and written terms

What This Model Achieves

- Only serious buyers enter the group
- Waiting games are eliminated
- Bulk deals execute faster
- Higher credibility with builders

Buyer Explanation Script

“This amount is not a fee. It is adjusted in your booking. It only becomes non-refundable if a confirmed bulk deal is blocked without reason. This keeps the process fair for everyone.”

Final Note

This model cannot force human behavior, but it ensures commitment, filters out time-pass buyers, and enables clean bulk transactions — just like professional deal rooms.